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Beijing Capital Int'l Airport | Asia Pacific

2Q26 Prelims: A Thin Profit; In-line

BCIA announced a preliminary net profit of Rmb10-20mn in 1H26. This implies 2Q26 net profit of Rmb1-11mn, versus Rmb9mn in 1Q26 and a net loss of Rmb39mn in 2Q25. BCIA attributed the earnings turnaround YoY to growth in non-domestic traffic.

Our take – neutral:

- BCIA remained profitable in 2Q26 despite total pax dropped 4% QoQ and largely flat YoY, amid soft travel demand and higher airfares due to global energy shock.
- We think the 2Q26 results were largely in line with MSe, with BCIA continuing to generate only a modest profit in 2026.

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**Beijing Capital Int'l Airport (0694.HK, 694 HK)**

Hong Kong/China Transportation & Infrastructure | China

Stock Rating	Underweight
Industry View	In-Line
Price target	HK\$1.40
Up/downside to price target (%)	(15)
Shr price, close (Jul 20, 2026)	HK\$1.64
52-Week Range	HK\$3.25-1.40
Sh out, dil, curr (mn)	4,579
Mkt cap, curr (mn)	Rmb6,491
EV, curr (mn)	Rmb13,765
Avg daily trading value (mn)	HK\$24

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(0.14)	0.01	0.04	0.08
EPS (Rmb)§	(0.08)	0.02	0.06	0.10
Revenue, net (Rmb mn)	5,632	5,981	6,233	6,506
EBITDA (Rmb mn)	1,370	1,890	2,108	2,323
ModelWare net inc (Rmb mn)	(578)	83	248	416
P/E	NM	78.4	26.1	15.6
P/BV	0.8	0.5	0.5	0.4
ROE (%)	(4.0)	0.6	1.8	3.0
EV/EBITDA	13.6	6.8	5.6	4.6
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	6.1	15.4	15.4	18.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Beijing Capital Int'l Airport (0694.HK)

Derived from the weighted average of scenario values by assigning 15%/70%/15% weightings to our bull/base/bear cases. We see equal likelihood for the bull and bear cases, as we think risk-reward looks balanced after renewal of duty-free terms. The base case value is based on DCF valuation, applying a 14.3% WACC and 2% terminal growth rate.

Risks to Upside

- Faster-than-expected international traffic recovery.
- Lower-than-expected traffic dilution from Daxing Airport.
- Better-than-expected duty-free contract.
- New slots approved by CAAC.

Risks to Downside

- Higher-than-expected operating costs.
- Worse-than-expected duty-free contract.
- Slower-than-expected non-domestic traffic recovery.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Beijing Capital Int'l Airport (0694.HK) - As of 07/21/26 GMT in HKD
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 7/1/21 : E/I; 12/13/23 : U/I; 1/4/24 : E/I; 9/23/25 : U/I

Price Target History: 5/6/21 : 6.1; 8/6/21 : 4.8; 1/5/22 : 5; 5/20/22 : 4.4; 7/28/22 : 4.3; 1/12/23 : 5.4; 12/13/23 : 2.2; 1/4/24 : 2.1; 4/5/24 : 2.3; 5/20/24 : 3; 9/19/24 : 2.2; 9/23/24 : 2.6; 11/25/24 : 2.9; 2/21/25 : 2.4; 4/1/25 : 2.7; 9/23/25 : 2.4; 6/10/26 : 1.4

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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Qianlei Fan, CFA		
Air China Limited (601111.SS)	E (07/07/2026)	Rmb5.87
Air China Limited (0753.HK)	O (01/13/2025)	HK\$4.07
Beijing-Shanghai High-Speed Railway (601816.SS)	O (07/03/2020)	Rmb4.94
BOC Aviation (2588.HK)	O (03/21/2022)	HK\$75.15
Cathay Pacific Airways (0293.HK)	O (06/10/2026)	HK\$12.98
China Eastern Airlines (600115.SS)	E (07/07/2026)	Rmb3.52
China Eastern Airlines (0670.HK)	O (01/13/2025)	HK\$3.05
China Merchants Energy Shipping Co. Ltd. (601872.SS)	O (03/10/2020)	Rmb14.29
China Southern Airlines (600029.SS)	E (07/07/2026)	Rmb5.02
China Southern Airlines (1055.HK)	O (01/13/2025)	HK\$3.39
COSCO SHIPPING Energy Transportation (1138.HK)	O (01/12/2023)	HK\$11.85
COSCO SHIPPING Energy Transportation (600026.SS)	O (11/25/2025)	Rmb14.52
COSCO Shipping Holdings Ltd (601919.SS)	U (07/15/2024)	Rmb14.93
COSCO Shipping Holdings Ltd (1919.HK)	U (07/15/2024)	HK\$15.19
J&T Global Express Ltd (1519.HK)	O (07/06/2026)	HK\$9.33
Orient Overseas (International) Ltd (0316.HK)	U (07/15/2024)	HK\$146.80
Pacific Basin Shipping (2343.HK)	E (07/04/2025)	HK\$3.09
S.F. Holding Co Ltd (002352.SZ)	E (09/01/2025)	Rmb33.98
SITC International Holdings Company (1308.HK)	E (01/12/2023)	HK\$36.06
Spring Airlines (601021.SS)	O (08/31/2015)	Rmb45.92
TravelSky Technology (0696.HK)	U (01/13/2025)	HK\$8.72
ZTO Express (ZTO.N)	O (11/21/2016)	US\$24.15
Tenny Song		
Beijing Capital Int'l Airport (0694.HK)	U (09/23/2025)	HK\$1.64
Guangzhou Baiyun Int'l Airport (600004.SS)	U (06/10/2026)	Rmb7.95
JD Logistics, Inc. (2618.HK)	O (03/09/2026)	HK\$13.65

Shanghai International Airport (600009.SS)	E (09/23/2025)	Rmb23.94
STO Express Co Ltd (002468.SZ)	E (10/22/2024)	Rmb13.86
YTO Express Group Co Ltd (600233.SS)	O (09/11/2025)	Rmb17.40
YUNDA Holding Co Ltd (002120.SZ)	U (07/29/2020)	Rmb6.63

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.